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“Consolidating in the South was a smart thing to do since the region has high brand loyalty. The brand got it [the Santoor strategy] right on its focus, built a hypothesis, and rolled it out well”

72 |

says Agrawal. Then Unza happened. In terms of revenue, Unza was as large as Wipro Consumer, but that’s where the similarity ended. “They operated in countries we did not understand and in categories not in India. Besides, everything they sold was through modern trade,” he says. He confesses that the buyout initially “looked like a stupid decision”. Plus, Wipro had to compete with Godrej Consumer and Dabur for Unza. Standard Chartered and private equity investor Actis held 58 per cent, while Unza’s staff held the rest. Wipro Consumer wanted a complete buyout. Unza’s business (which includes Enchanteur, today a ₹1,000-crore brand selling fragrances, bath and body products) has grown five times. Agrawal calls the Unza deal the second tipping point for Wipro after Santoor.

It was Santoor’s success that prompted Wipro to go for Unza. Wipro was clear that it would not lay off people. “We understood quite early that no attrition was possible in the case of Unza,” says Agrawal.

Wipro Consumer has made 14 buyouts in India and abroad so far. Dua of Sharekhan says Indian FMCG brands have the critical scale and recognition to explore opportunities in other developing markets. “Some of the ventures have been successful while it has been a learning experience for a few companies in certain markets,” he says.

Foods is not uncharted territory for Wipro Consumer: Wipro Ltd was born in 1945 as Western India Vegetable Products, a manufacturer of *vanaspati* or hydrogenated vegetable oil, the poor man’s ghee, and refined oil, both

sold under the Sunflower brand. As Wipro got into new businesses, Sunflower was pushed into the background. In late 2012, Cargill, the US commodities and foods giant, bought Sunflower, which accounted for only one per cent of Wipro’s business then. Agrawal reels off the numbers behind Wipro’s decision to get into foods. “We are looking to expand into categories from an India point of view. The size and scale in foods is very different from, say, soaps, which is a ₹27,000-crore market. The spices [business] alone is ₹70,000 crore, and snacks is another ₹75,000 crore.” Just about 25 per cent of the spices business is organised. In snacks, this share is 55 per cent.

V.S. Kannan Sitaram, Co-founder and Partner at Fireside Ventures, explains that snacking is a highly fragmented business in south India. “Those like A2B, Grand Sweets and Sri Krishna have their stores and sell the products there. It is similar to a kiosk model,” he says.

THE BIG LEAGUE

> Wipro Consumer clocked higher revenues than Marico



61,092
HUL

adani wilmar

58,446
ADANI WILMAR



16,516
BRITANNIA



11,975
DABUR

FY23 REVENUES IN ₹ CRORE; *FY22 (THE COMPANY FOLLOWS THE CALENDAR YEAR)